

26STCV09251 26STCV09251

County: los-angeles
Division: Civil Law and Motion
Department: 731
Hearing date: 2026-09-17
Motion: DEFENDANT FORWARD NETWORKS, INC.'S MOTION TO COMPEL ARBITRATION
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Case Number: 26STCV09251 Hearing Date: September 17, 2026 Dept: 731

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS
ANGELES - CENTRAL DISTRICT

ROBERT WELCH, an individual,

Plaintiffs,

vs.

FORWARD NETWORKS, INC., a
Delaware

Corporation; and DOES 1 through
25 inclusive,

Defendants.

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CASE NO: 26STCV09251

[TENTATIVE] ORDER RE: DEFENDANT
FORWARD NETWORKS, INC.'S MOTION TO COMPEL ARBITRATION

Dept. 731

September 17, 2026

8:30 a.m.

Matter No. 5

Moving Party: Defendant,
Forward Networks, Inc.

Opposing Party: Plaintiff, Robert Welch

Notice: OK

Background Facts

Now before the Court is Defendant Forward Networks, Inc.'s opposed motion to compel into arbitration all Fair Employment and Housing Act ("FEHA"), Labor Code, and wrongful termination claims alleged against it in Plaintiff Robert Welch's March 23, 2026, Complaint.

Motion to Compel Arbitration

Preliminary Considerations

i. Requests for Judicial Notice

The Court takes judicial notice of the JAMS Employment Arbitration Rules & Procedures. (Motion, RJN, Ex. A [copy of rules]; see Evid. Code, §§ 452, subd. (h), 453, subds. (a)-(b).)

The Court also takes judicial notice of Labor Code section 432.6. (Reply, RJN, Ex. A [Westlaw printout of Lab. Code, § 432.6; see Evid. Code, § 451, subd. (a).])

ii. Arguments/Evidence Raised for First Time on Reply; FAA v. CAA Applicability

Courts have discretion to permit arguments or evidence raised for the first time on reply. (See *Nordstrom Com. Cases* (2010) 186 Cal.App.4th 576, 583 [Courts generally need not accept arguments raised for the first time on reply without good cause explanation as to why points were not raised earlier]; *Hahn v. Diaz-Barba* (2011) 194 Cal.App.4th 1177, 1193 [While additional evidentiary matter submitted with the reply ordinarily should not be allowed, the court has discretion to consider it when it poses no prejudice to the opposing party].)

Here, Plaintiff argues that because Defendant's motion points and authorities do not address interstate commerce, Defendant's motion, which invokes the FAA, should be denied for failure to meet an essential element of Defendant's burden. Plaintiff also preemptively argues that any evidence of interstate commerce on reply should not be considered.

The Court, however, agrees with the reply position that evidence of interstate commerce in Defendant's business and Plaintiff's employment should be considered. Here, there is no prejudice apparent to Plaintiff other than

having to argue the merits of whether his employment involved interstate commerce. Under these circumstances, the Court accepts evidence relating to interstate commerce.

The Court discusses merits below.

b. Legal Standard

The Federal Arbitration Act (“FAA”), while a federal statute, applies in California courts and requires state courts to enforce arbitration agreements as required by the federal common law developed under the FAA. (See *Southland Corp. v. Keating* (1984) 465 U.S. 1, 15-16 (*Southland Corp.*); *Broughton v. Cigna Healthplans* (1999) 21 Cal.4th 1066, 1074-78, superseded by statute on another ground as stated in *Ferguson v. Corinthian Colleges, Inc.* (9th Cir. 2013) 733 F.3d 928, 937.) The FAA preempts and invalidates state law and state judicial decisions that disfavor arbitration or require arbitration provisions to pass higher scrutiny. (*Southland Corp.*, *supra*, at p. 12; *Perry v. Thomas* (1987) 482 U.S. 483, 490.) If the parties designate the FAA applies, then California arbitration law is preempted. (See, e.g., *Rodriguez v. American Techs., Inc.* (2006) 136 Cal.App.4th 1110, 1121-1122.) However, courts have found that where the FAA is found not to apply, the California Arbitration Act (Code Civ. Proc. § 1280 et seq.) applies. (See *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 178 (*Valencia*).)

A court’s inquiry is limited to a determination of (1) whether a valid arbitration agreement exists and (2) whether the arbitration agreement covers the dispute. (9 U.S.C. § 4; *Chiron Corp. v. Ortho Diagnostics Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130; *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84; see *Simula, Inc. v. Autoliv, Inc.* (9th Cir. 1999) 175 F.3d 716, 720 [if the finding is affirmative on both counts the FAA requires the Court to enforce the arbitration agreement in accordance with its terms]; see *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961 [In determining the enforceability of an arbitration agreement, the court first considers “two ‘gateway issues’ of arbitrability: (1) whether there was an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue”] *Lacayo v. Cataline Restaurant Group Inc.* (2019) 38 Cal.App.5th 244, 257 (*Lacayo*) [Where moving party meets initial burden, “the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition”].)

Even where the FAA governs the interpretation of arbitration clauses, California law governs whether an arbitration agreement has been formed in the first instance. (Baker v. Osborne Development Corp. (2008) 159 Cal.App.4th 884, 893.)

Discussion

i. Defendant's Burden

1. Existence of an Arbitration Agreement

The Court finds that the parties entered into an agreement to arbitrate.

"Parties are not required to arbitrate their disagreements unless they have agreed to do so. [Citation.] A contract to arbitrate will not be inferred absent a 'clear agreement.' [Citation.]" (Davis v. Nordstrom, Inc. (9th Cir. 2014) 755 F.3d 1089, 1092-1093.) California applies ordinary principles of contract formation in determining whether an agreement to arbitrate exists.

Defendant submits a declaration from its Senior Vice President concerning Plaintiff's execution of an offer letter containing an arbitration provision and the electronic signature associated with that agreement. (Motion, P Decl., ¶¶ 2-4, 8, 11, 13-18, 19-20, 21, 22-23, Exs. A-C; agreement at Ex. C, § 12.)

Plaintiff does not dispute that he entered into the agreement. Instead, Plaintiff contends that his claims fall outside the agreement's scope or that the agreement should not be enforced. (Opposition, pp. 3-15.)

The Court therefore finds that an agreement to arbitrate exists.

2. Interstate Commerce

The Court next considers whether Defendant has established that the FAA applies.

A party seeking to compel arbitration under the FAA bears the burden of establishing FAA coverage, including by

demonstrating that the relevant employment relationship involves interstate commerce. (Hoover v. American Income Life Ins. Co. (2012) 206 Cal.App.4th 1193, 1207; Lane v. Francis Capital Management LLC (2014) 224 Cal.App.4th 676, 687-688.)

Plaintiff argues that his employment was exclusively California-based because he physically worked in California. That fact, standing alone, does not resolve whether his employment involved interstate commerce. The relevant inquiry concerns the nature of Defendant's business and Plaintiff's employment.

Defendant's reply evidence establishes that Plaintiff's employment involved communications and work concerning persons or activities outside California, including work involving other states and a self-review apparently referencing work related to Japan. (Reply, pp. 5-6; Reply, P Decl., ¶¶ 2-10, Exs. A-C.) The evidence also establishes the interstate nature of Defendant's business and the nexus between that business and Plaintiff's employment.

On this record, the Court finds that Defendant has established that the employment relationship involved interstate commerce. The FAA therefore applies.

3. Scope of the Arbitration Agreement

The Court nevertheless finds that Plaintiff's claims fall outside the scope of the arbitration agreement.

The arbitration provision states that the parties agree to submit to mandatory binding arbitration "any and all claims arising out of or related to your employment with the Company and the termination thereof," subject to specified carveouts. (Motion, P Decl., Ex. C, § 12(a)(i).)

One such carveout excludes Labor Code and FEHA claims "for so long as AB 51 is in effect."

The parties principally dispute the meaning of the phrase "in effect."

The Ninth Circuit has held that the Federal Arbitration Act preempts AB 51 “as a whole to the extent it applies to arbitration agreements.” (Chamber of Commerce of the United States of America v. Bonta (9th Cir. 2023) 62 F.4th 473, 490.) The court explained that AB 51’s provisions, taken together, burdened the formation of arbitration agreements in a manner inconsistent with the FAA. (Ibid.) Thus, where the FAA governs an arbitration agreement, AB 51 does not provide a basis for invalidating an otherwise enforceable arbitration agreement. See also Lab. Code, § 432.6, subd. (f) [“Nothing in this section is intended to invalidate a written arbitration agreement that is otherwise enforceable under the Federal Arbitration Act.”].

That holding, however, does not answer the contractual question presented here.

The issue before the Court is not whether AB 51 may be enforced against Defendant or whether AB 51 renders the parties’ arbitration agreement invalid. Rather, the issue is what the parties meant when they agreed to exclude FEHA and Labor Code claims “for so long as AB 51 is in effect.”

The agreement does not define “in effect.” Nor does it state that the exclusion ceases to apply if AB 51 is preempted, unenforceable, enjoined, or otherwise incapable of being enforced against the parties. The agreement instead uses the phrase “in effect” without further qualification.

Defendant asks the Court to construe that language as effectively meaning “for so long as AB 51 is enforceable against the parties.” The Court declines to add that qualification to the agreement.

The Ninth Circuit’s decision in Chamber of Commerce addressed the legal effect of AB 51 under the FAA. It did not interpret the parties’ private agreement or determine what the parties intended by the phrase “for so long as AB 51 is in effect.” The FAA’s application and the scope of the parties’ contractual agreement are therefore analytically distinct questions.

Nor does the agreement state that the FEHA and Labor Code carveout is limited to claims excluded from arbitration by a

presently enforceable provision of California law. Had the parties intended that result, they could have drafted the provision to exclude such claims only “to the extent required by AB 51,” “to the extent AB 51 is enforceable,” or using similar language. They did not do so.

The Court must enforce the agreement according to its terms and may not rewrite it to achieve a different allocation of arbitrable claims. (*Ritzenthaler v. Fireside Thrift Co.* (2001) 93 Cal.App.4th 986, 991.)

The Court therefore concludes that the phrase “for so long as AB 51 is in effect” does not mean “for so long as AB 51 is enforceable against Defendant under the FAA.” The agreement contains no such limitation.

The Court further concludes that the existence of federal preemption does not, by itself, modify the contractual language selected by the parties. The parties agreed to a particular allocation of claims, and that allocation expressly excludes FEHA and Labor Code claims subject to the stated temporal condition.

On the record and briefing before the Court, Defendant has not established that the contractual condition has ceased to exist under the terms of the agreement. Accordingly, the FEHA and Labor Code claims alleged in the Complaint fall within the contractual carveout and outside the scope of claims Defendant agreed to arbitrate.

Because Defendant has failed to establish that the arbitration agreement encompasses the claims asserted in this action, the motion to compel arbitration must be denied.

d. Conclusion

Defendant Forward Networks, Inc.’s motion to compel arbitration is DENIED.

Defendant Forward Networks, Inc. is ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at smcdept731@lacourt.org indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive

an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: September 17, 2026 _____

MARK C. KIM

Judge of the Superior Court